

to corner 19.3 per cent share, it is up against the might of M&M with its array of pickups and a market share of almost 60 per cent. "There are more white spaces on our product portfolio, for example, from 3.5 to about 9-10-11 tonnes, even going up to 15 tonnes where we are not that strong, and that will also need some product interventions, not just market side interventions," says Agarwal. (See infographic *The Competitive World of Ashok Leyland* for a more detailed analysis of its sales and white spaces.)

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G **OING FORWARD**, the company also has strong plans for international markets. Hinduja says the company became a Top 10 player in M&HCV globally in 2018, and now after having made some progress in the LCV category, is working towards achieving the Top 10 status in CVs overall as well, which is a much more difficult ask. One part of the strategy towards achieving this objective is to create left-hand drive options for its new products including AVTR and Bada Dost, and many of its new buses as well. In fact, so well have Ashok Leyland's buses done in the Middle East that it is now planning a second plant in the region in addition to its existing one at Ras Al Khaimah in the UAE, which was commissioned in 2011-12.

"Our products are now capable and suitable to take into markets that we play in—the Middle East, Africa, some of the Asean markets that we're entering into. The product range that we have today gives us many new markets, many new opportunities, and you automatically attract a lot of new dealers [in those markets] as well," says Hinduja, adding that the company needs to be able to compete with global competitors such as the Chinese, Koreans and Japanese, which trade quite strongly within these markets. "Of course, there are challenges but our price positioning is very competitive, and product offering is very robust."

The other concern is a churn in the CEO position in recent years. Vinod Dasari, who was with the company for 14 years, quit the corner office in November 2018 and his successor Vipin Sondhi also left a couple of



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years later, leaving Hinduja to battle the vagaries of the pandemic without a CEO for the most part. Current CEO Agarwal joined the company last December but he has worked mostly with tractor companies earlier and has had no exposure to true-blue CVs, and is now warming up to the new job. "These things happen. When you look at the team, not only at the senior management level but at the mid-tier as well, the strength of Ashok Leyland is its people, its team. Now you might ask, why aren't the CEOs coming from within Ashok Leyland as well? So, there might be some course correction that we need to do," says Hinduja.

The company has now developed a new succession programme to help senior team members with their development, help middle man-

ers chart out their career growth paths and also find youngsters who have the potential to make it to the top in the next 10-12 years. And it is the senior management team that is helming this drive. "They are working very closely in identifying the future leaders of this company and they are very involved in their development as well," says Hinduja.

He will need all the smarts of his senior team and other managers as Ashok Leyland navigates the treacherous world of commercial vehicles in the near future. Already, Roy of CareEdge points out that the pent-up demand that drove a major part of the growth over FY22 and FY23 has now faded out, and growth will be more muted. "The domestic CV industry is likely to record volume growth of 8-11 per cent in FY24," she says. "This will include muted export volumes, expected because of the uncertain global environment and also the inflationary concerns that are going on." Not to forget that tough competitors like Tata Motors and M&M are also working on their own plans to sustain their growth momentum and gain more market share.

Going by its recent track record, the 75-year-old Ashok Leyland is likely to face up to these challenges bravely, and with calm fortitude. Just like Hinduja. **BT**

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